



East West University

History of Sri Lanka, Lebanon and Venezuela's Debt Crisis and the Policy Intake for Overcoming

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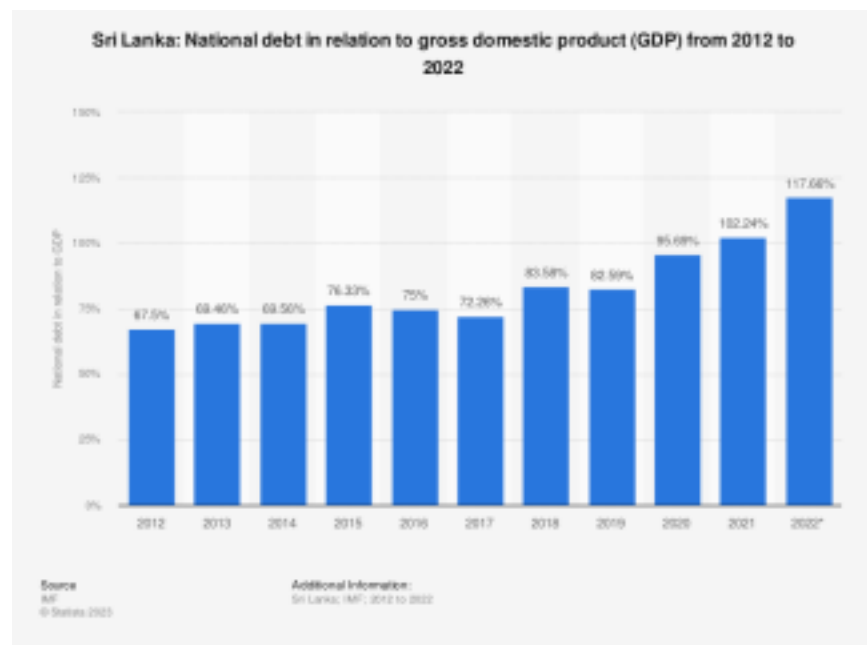
1. Introduction:

Debt crises have been a reappearing problem for many countries, with Sri Lanka, Lebanon, and Venezuela being notable examples in recent years. These nations have faced severe economic downturns due to a combination of internal and external factors.

2. Historical Context:

2.1 Sri Lanka:

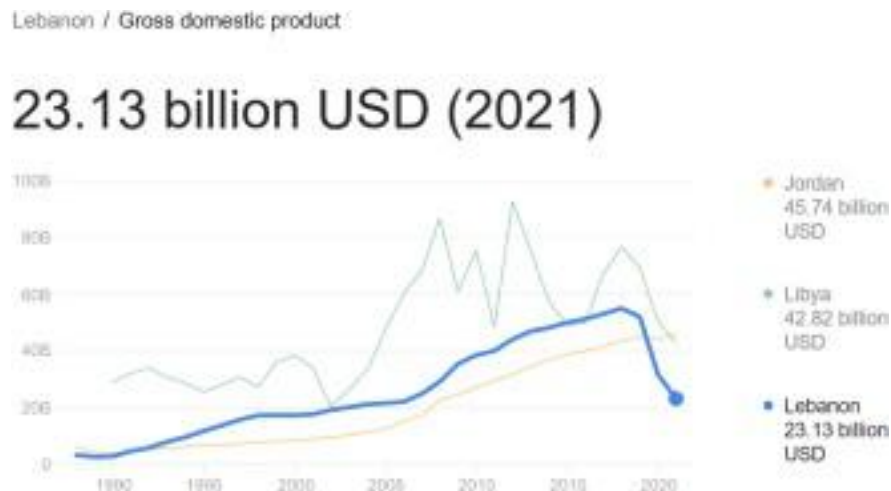
Sri Lanka's history of debt crises started back from the early 21st century. During this period, the country went on an ambitious borrowing spree to finance large-scale infrastructure projects and development initiatives, with the goal of achieving economic prosperity. This led to large buildup of debt, which eventually overtook the output produced in the entire country (GDP). The diagram below shows the debt to GDP ratio for Sri Lanka (from 2012-2022).



The crisis became so severe that Sri Lanka began to borrow more to pay off existing debts, which was equated to a pyramid scheme. Furthermore, the Hambantota Port project, fell short of generating the anticipated returns, resulting in a substantial surge in external debt and lower revenues; which added to the complexity, as political instability and corruption within the government aggravated the debt crisis. Elected officials often used publicly funded projects as tools for consolidating their authority and participating in nepotism, favoritism, and establish political favor networks, diverting resources away from more economically beneficial opportunities. This misallocation of resources further deepened the crisis, as Sri Lanka struggled with meeting its debt obligations amidst a backdrop of lagging economic growth.

2.2 Lebanon:

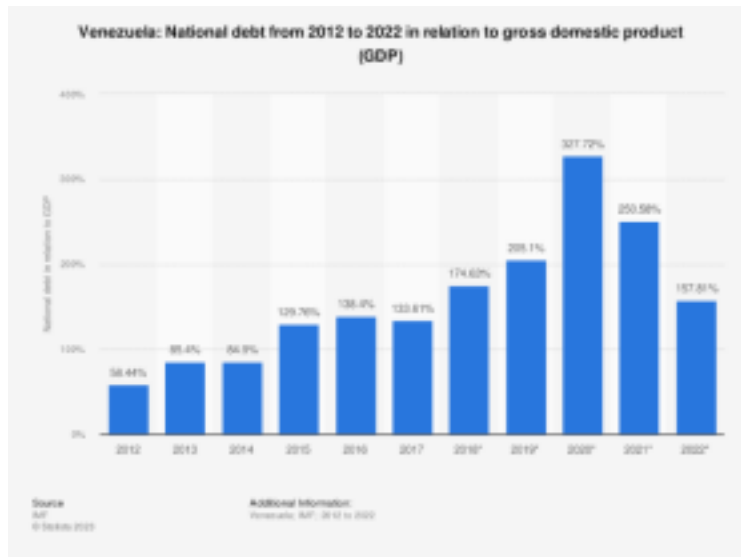
Lebanon was historically known as the "Switzerland of the Middle East," due to its successful economic growth. However, over the years it faced a debt crisis that can be linked to decades of political instability, sectarian conflicts, and corruption. Lebanon's complex political system, which divides power among different religious groups, has often resulted in political paralysis and an inability to undertake necessary reforms. This inability to make reforms resulted in lower economic growth, then stagnation and eventually a downturn in the economic cycle, where they lost 50% of their economy in just 2 years. This is shown in the graph below.



Over time, the Lebanese government amassed high levels of debt, mainly denominated in foreign currencies. This reliance on foreign-denominated debt became particularly problematic when the country's economic situation worsened. Lebanon's central bank was unable to maintain a fixed exchange rate, leading to a devaluation of the Lebanese pound and a loss of investor confidence. This led to a collapse of the banking sector, which further worsened the debt crisis.

2.3 Venezuela:

Venezuela's debt crisis is a result of a combination of factors, with the primary reason being the country's overdependence on oil exports. For decades, Venezuela relied on oil revenues to fund its government spending and social programs. However, when global oil prices fell, the country's income sharply declined. The figure below shows debt to GDP ratio for Venezuela.



The crisis was made worse by economic mismanagement and political unrest. The government resorted to printing money to cover budget deficits, which led to hyperinflation. This massively decreased the purchasing power of the Venezuelan Bolívar, causing severe economic hardship for citizens. Additionally, political instability, including rigged and falsified elections and a power struggle between different political parties further deepened Venezuela's crisis. To curb the corrupt regime, countries placed international sanctions, which further plunged the economy into crisis.

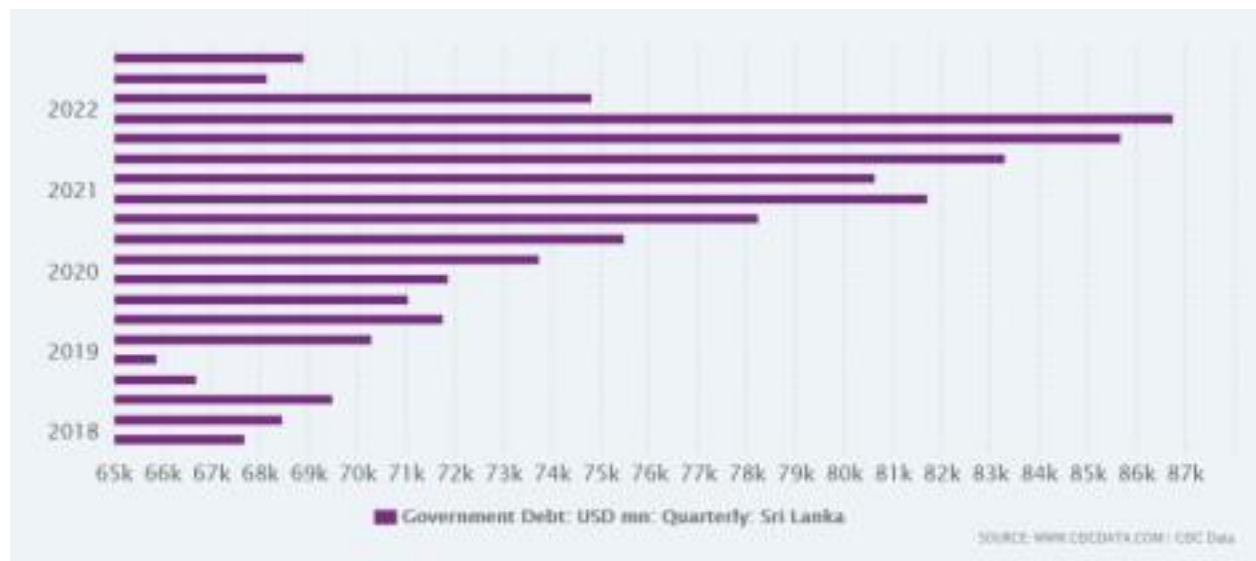
3. Causes of Debt Crises:

3.1 Common Factors:

While each country (in this study) has unique characteristics for their massive debts, there are still common factors contributing to their economic problems, which include fiscal and monetary mismanagement, overdependence, political instability, corruption, and heavy reliance on external borrowing. These factors created a situation which made it very difficult for these nations to manage their debt burdens effectively.

3.2 Sri Lanka:

The size of Sri Lanka's national debt is about 75.7 billion USD as of December, 2022 (which increased from 68.9 billion USD from the previous quarter.) According to the most recent data, Sri Lanka's Consolidated Fiscal Balance for December 2022 showed a deficit amounting to 10.2% of its Nominal GDP. During the same period, the country's Government debt stood at 113.8% of its Nominal GDP. As of March 2023, Sri Lanka's Nominal GDP had reached a total of 20.9 billion USD. This data is illustrated in the diagram below.



This problem rose due to costly infrastructure ventures, mainly the Hambantota Port and Mattala Rajapaksa International Airport. These projects were supposed to boost development but did not generate the revenue as was expected. The Hambantota Port, in particular, was underutilized and incurred a large cost for operation.

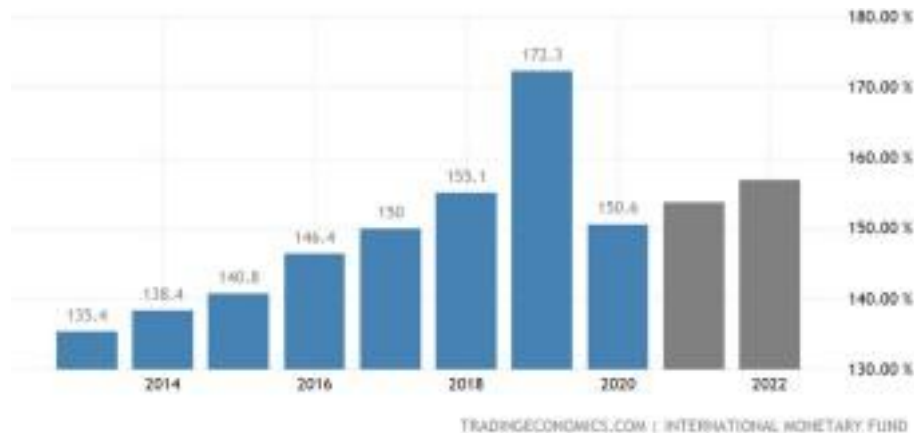
In addition to that: newly established governments made extensive tax cuts which meant lower revenue was generated from taxes. In 2022, the Russia-Ukraine War made it worse as other countries faced economic strains as well and thus, were unable to provide necessary aid to Sri Lanka. This coupled with mismanagement and lowering investor confidence led to lower investments; as investments lowered, production also waned and unemployment rate increased, this created even more burden for the government and decreased GDP for the country.

Politics also played a big part with money being spent in the wrong places. Politicians used these projects to keep their power and gave their supporters well-paying jobs, which made Sri Lanka's monetary issues even worse.

In this situation, Sri Lanka experienced shortages in essential commodities like food and fuel, alongside raising inflation rates. The foreign exchange reserves dwindled, hampering the nation's ability to conduct international trade. The tourism sector suffered a severe blow as revenues declined, while remittances from overseas workers also dwindled due to economic uncertainty. Import and export disruptions further complicated the situation, leading to twin deficits and a significant reduction in foreign reserves, exacerbating the overall financial crisis.

3.3 Lebanon:

After the civil war in the 1990s came to an end, Lebanon started to recover with the assistance of external aid and loans. However, its economic growth remained sluggish. By the year 2019, the country reached its lowest point in terms of economic performance. According to numbers recently released by the Finance Ministry and reported in a Byblos Bank study, Lebanon's state debt hit a new high at the end of April 2022: \$101.1 billion. Lebanon is officially reported as having a debt to-GDP ratio of 151% by the IMF, as of 2020. This can be shown using the diagram below.

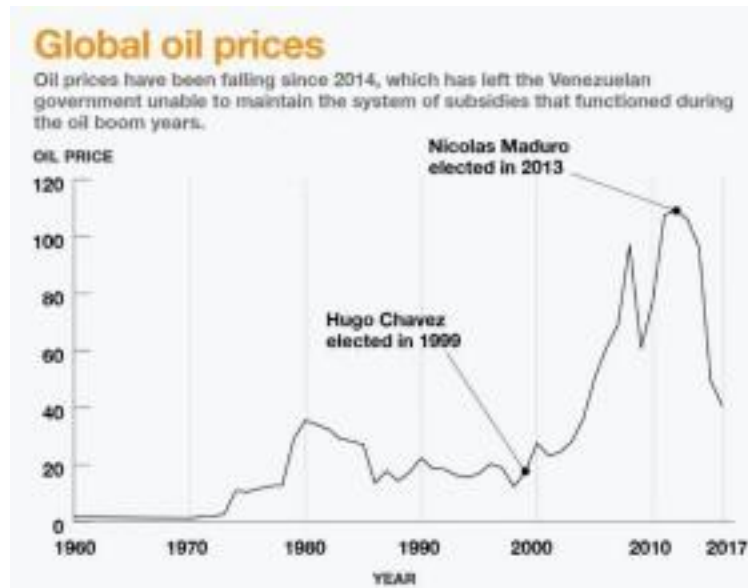


The economic challenges in Lebanon have been significant in recent times. The value of the currency has depreciated, with a staggering 90% decrease, leading to hyperinflation and a sharp decline in purchasing power for the people. The banking sector has suffered as well, with a reduction in the value of assets held by banks and a stoppage in short-term loans. The nation has also suffered with a fuel crisis, which has further worsened the economic condition, resulting in a spike in unemployment by 50% and a significant drop in GDP per capita. The COVID-19 pandemic dealt a blow to the already struggling tourism sector – as result, exports declined. Moreover, the devastating Beirut explosion in 2020 only added to the economic struggles with a staggering cost of repair worth nearly half of its GDP – further compounding to the rising expenses for the economy.

Consequently, the government's fiscal mismanagement and inability to control its spending led to a massive budget deficit. Lebanon's central bank intervened by offering high-interest rates on government bonds, attracting both domestic and foreign investors. However, this strategy was unsustainable and eventually resulted in a financial collapse.

3.4 Venezuela:

The National debt of Venezuela in relation to gross domestic product (GDP) is 157.81% as of 2022. This economic crisis can be attributed to a series of interconnected factors. Firstly, the country's heavy reliance on oil exports left its economy vulnerable to fluctuations in oil prices, and a failure to diversify the economy. The figure below shows changing oil prices.



When oil prices fell, it severely impacted the nation's income, leaving it ill-prepared to cover its budgetary needs. Consequently, the government's response to falling oil prices worsened the crisis: instead of implementing economic reforms and austerity measures, the government opted to print money to finance its budget deficits. This reckless monetary policy led to hyperinflation, eroding the value of the Bolívar and causing severe economic hardship for Venezuelans.

As a result, importing essential food products became increasingly expensive, contributing to rising living costs for its citizens. Then, capital flight, driven by a lack of confidence in the economy, further strained its finances when the government settled a fixed exchange rate for the country. Corruption and mismanagement within the government worsened matters, as did the incompetence of the domestic market. The 2013 crisis (which saw a 40% drop in GDP) was a significant turning point, and by 2017, the country's debt had surpassed its revenue. This mounting debt, coupled with massive hyperinflation, marked by the highest inflation rate in 2016, created a dire fiscal scenario. Lastly, budget deficits added to the strain, adding to the severity of Venezuela's economic crisis.

4. Policy Measures and Strategies:

4.1 Sri Lanka:

Sri Lanka is taking several measures to recover from its deep economic crisis. Sri Lanka has secured a four-year IMF program worth \$2.9 billion. This program not only provides financial support but also aims to encourage other official lenders, private investors, and creditors to have confidence in the country's economic recovery efforts. Moreover, Sri Lanka is engaged in negotiations with creditors for debt restructuring following a sovereign foreign debt default in April, 2022. It is continuing negotiations with various creditors, including China, India, Japan, and private bondholders.

Subsequently, to meet the conditions set by the IMF and maintain financial discipline, Sri Lanka is implementing austerity measures. This includes raising taxes and cutting expenditures, which can be politically challenging but may help to reduce expenses and increase revenue.

To amalgamate: Sri Lanka's recovery strategy includes engagement with international organizations like the IMF, debt restructuring, austerity measures, and a focus on stabilizing its economy over the long term. However, the path to recovery remains challenging, given the complex creditor landscape and the need for internal political stability alongside economic reforms.

Sri Lanka's situation emphasizes the importance of responsible borrowing and necessary project evaluation. Policymakers must carefully assess the economic viability and potential returns on large-scale infrastructure projects to prevent overcommitting to costly endeavors that may not generate sufficient revenue. Moreover, ensuring that such projects are insulated from political intervention and corruption is crucial to prevent misallocation of resources.

4.2 Lebanon:

Lebanon is actively engaged in a multifaceted approach to recover from its severe economic crisis, with the assistance and support of the World Bank Group and other international organizations and countries, whereby, the United States provided aid of over USD 650 million through the duration of 2020-2022.

The World Bank Group's Country Partnership Framework (CPF) for Lebanon, launched in 2016, emphasizes the significance of enhancing access to services and broadening economic opportunities. This diversification is pivotal in reducing the nation's dependence on a single economic sector, like oil, thereby promoting stability. Thus, to increase economic growth, Lebanon is actively pursuing economic diversification beyond its traditional sectors, such as in banking and real estate. Encouraging investments in alternative industries like technology and agriculture is an integral component of this diversification strategy and a way out of the crisis.

Even still, various projects are being implemented to address critical sectors such as health, education, roads, and social safety nets. These projects aim to strengthen healthcare infrastructure, support education during challenging economic times, and provide financial assistance to vulnerable households. Lebanon is also focusing on infrastructure development, including road construction and housing rehabilitation, to support economic recovery and enhance the livelihoods of its citizens.

Additionally, the International Finance Corporation (IFC) is selectively identifying opportunities to support the Lebanese private sector, with a focus on manufacturing, technologies, and other areas with export potential, which could generate further revenue for the economy. Structural and sectoral reforms are being undertaken to improve Lebanon's operating environment, attracting foreign direct investment, and facilitate recovery. Such reforms may include addressing issues like sovereign default and currency restrictions to stabilize the economy.

4.3 Venezuela:

Starting from Fiscal Year 2017, Venezuela has received over \$2.8 billion in combined humanitarian, development, economic, and healthcare aid from the United States. Moreover, Venezuela is actively pursuing a path to economic recovery with the assistance of international organizations like the IMF. In collaboration with the IMF, the country has adopted a series of measures aimed at stabilizing its economy and fostering growth. These measures include implementing austerity measures to control government spending, privatizing various sectors of the market to encourage private investment and competition, and instituting price controls to mitigate hyperinflation to stabilize the Bolívar. This also included monetary reforms, efforts to increase oil production, and policies to attract foreign investment. Mainly, reviving the country's oil industry, which had been severely impacted by years of mismanagement and underinvestment, was a critical component of Venezuela's strategy. Attracting foreign investment and expertise to the energy sector was seen as essential for generating much-needed revenue to pay for the economic expenses.

Additionally, Venezuela is working to diversify its economy by focusing on promoting tourism as a key sector, which can attract foreign visitors and generate revenue. The overall goal is to lower inflation and create a more stable economic environment that can lead to healthy economic growth.

Furthermore, Venezuela's response to its debt crisis included seeking debt relief negotiations with creditors. The government-initiated discussions with bondholders to restructure its debt, aiming to reduce the overall debt burden and ease the immediate financial strain.

The crisis in Venezuela is a strong warning against relying too much on a single product, especially one with unpredictable price fluctuations. Economic resilience requires diversifying the economy and lowering reliance on a particular export or revenue stream. The prevention of hyperinflation and economic collapse also depends on maintaining fiscal restraint and avoiding reckless monetary measures, such as excessive money printing.